

LAKSH'S DAILY BRIEF

Laksh's Daily Brief — Wednesday, August 12, 2026

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World · Markets & Money · AI & Infrastructure · Models & Research



Guardian World — Canadian airline WestJet agrees to settle flight attendants' sexual harassment class action



Al Jazeera — Lebanon passes long-sought amnesty law, a day after death penalty repeal



Al Jazeera — Why the UK faces a prisons crisis amid row over release of cop killers

1. World & Geopolitics

Red Sea sees first fatalities in over a year as Houthis hit shipping. A cargo ship and a containership were attacked in the Red Sea and Gulf of Oman, killing six people — the first deaths in that shipping lane in over a year ([CNBC](#)). The US struck back against a container ship. This is the Red Sea front of the broader US-Iran war, which has ground on since February. The Houthis (the Iranian-backed militia controlling Yemen's Red Sea coast) had largely paused attacks after an April ceasefire, but these strikes show the "quiet" period is over. For global trade, this is the chokepoint story again: the Bab el-Mandeb strait connects the Red Sea to the Gulf of Aden, and shipping has to transit it to reach the Suez Canal. Attacks here force ships around Africa instead, adding weeks to voyages.

Trump claims "total" control over Hormuz, deepens skepticism of Iran. Speaking amid the ongoing conflict, President Trump said he's "the last to trust Iran" and claimed "total" control over the Strait of Hormuz — the narrow waterway through which roughly a fifth of the world's oil passes ([All Israel News](#)). This matters because claiming control of a chokepoint is a threat as much as a statement — if Iran retaliates by mining the strait or targeting tankers, oil prices and shipping insurance spike globally. The April ceasefire held for months; the question is whether this escalates back into open conflict.

Putin threatens to seize European ships. The Russian president said he'd retaliate over Western seizures of commercial vessels, calling them "an act of

piracy and robbery" ([France 24](#)). The context: Western sanctions on Russia over the Ukraine war have led to asset seizures, and Moscow is now threatening reciprocal moves. This is the sanctions tit-for-tat cycle — one side seizes a ship, the other seizes one back, and trade routes get riskier.

China plans first joint naval drill with Indonesia east of Taiwan. The People's Liberation Army will hold its first joint naval exercise with Indonesia in waters east of Taiwan ([South China Morning Post](#)). This is a significant diplomatic move: Indonesia has long been a neutral player in the South China Sea disputes, and a joint drill with China signals a tilt. Russia is also helping China narrow the military gap with US forces, according to a retired US military leader ([Fox News](#)). The Taiwan Strait remains the world's most dangerous flashpoint.

Zhu Rongji, architect of China's 1990s economic reforms, dies at 97. The former Chinese premier passed away ([NPR](#)). Zhu is the man who dragged China's state-owned economy toward markets — he privatized thousands of state firms, joined the WTO, and built the modern Chinese fiscal system, all while keeping the Communist Party in firm control. His death matters today because it marks the end of an era of technocratic economic management in Beijing, just as the party faces a slowing economy and an AI chip crunch.

Lebanon passes amnesty law, day after death penalty repeal. Lebanon's parliament approved a long-sought amnesty law that will "exceptionally" reduce certain prison terms, a day after repealing the death

penalty ([Al Jazeera](#)). For a country that's been through financial collapse and political paralysis, this is a rare legislative win — it could free political prisoners and ease overcrowding.

Domestic US politics: Trump doesn't dismiss national emergency to restrict voting. President

Trump didn't rule out declaring a national emergency to restrict voting, according to USA Today ([USA Today](#)). This is a live constitutional flashpoint ahead of the November midterms.

2. Markets, Money & Deals

July CPI lands at 3.4% annual, as expected.

Consumer prices rose 0.1% in July, matching forecasts, holding the annual rate at 3.4% ([CNBC](#)). Food costs slowed and fuel cooled, but housing kept prices elevated ([BBC](#)). The CPI (Consumer Price Index — the headline measure of what consumers pay for a basket of goods) is the key input for the Fed's rate decisions. With inflation easing, money markets are now evenly split between a 25-basis-point rate hike and a pause in September, per the CME FedWatch tool ([Reuters](#)). Remember: a basis point is 1/100th of a percentage point, so 25 bps is a quarter-point move. Fed Chair Kevin Warsh's muted forward guidance (his public hints about future rate moves) means every data point matters more.

CoreWeave stock surges 14-18% on doubled revenue. The AI cloud company (non-obvious ticker: CRWV) reported second-quarter revenue doubling on surging demand, but sits on \$35 billion in debt ([CNBC](#), [MarketWatch](#)). Analysts praised the "cleaner quarter" and broader customer base ([CNBC](#)). The bull-bear tension: revenue is exploding, but the debt load is enormous — a bet that AI demand keeps growing faster than interest payments.

Lumentum stock surges 11.6%, boosting the optical-networking trade. Lumentum (LITE) is up sharply after upbeat results, and investors are now excited about Coherent's (COHR) upcoming earnings ([MarketWatch](#)). Lumentum makes the lasers and optical components that let data centers move data at high speed — a key bottleneck in the AI buildout.

Goldman Sachs to expand active-ETF presence with \$2.3 billion Neos deal. Goldman is acquiring investment firm Neos in a deal worth \$2.3 billion ([Reuters](#)). Active ETFs are funds where a manager picks stocks (vs. passive index funds). This shows Wall Street's biggest banks moving into the retail-accessible active investing space.

Tencent sees spending surge, defends AI returns. The Chinese tech giant reported rising AI spending and defended its potential for "superior" returns, even as its stock is down 26% in 2026 ([CNBC](#)). This is the same capex story playing out in China — companies spending billions on AI infrastructure with investors questioning when the payback comes.

Meta faces \$1.4 trillion lawsuit. Jury selection begins Wednesday in a lawsuit alleging Meta (META) deliberately designed addictive features to keep children hooked ([France 24](#)). A \$1.4 trillion claim is staggering — that's roughly Meta's entire market cap. This is a slow-burn existential risk for the social media giant.

Mortgage rates stop rising, demand trickles back. Rates finally eased slightly, bringing some demand back to the beleaguered housing market ([CNBC](#)). Mortgage rates track long-term bond yields, which are influenced by Fed policy and inflation expectations.

Crypto light: Anchorpoint debuts HKDAP stablecoin in Hong Kong. A new Hong Kong dollar-pegged stablecoin launched ([CryptoDnes.bg](#)). Stablecoins are cryptocurrencies pegged to a real currency; Hong Kong is positioning itself as a regulated crypto hub.

3. AI & Infrastructure

The AI buildout is complicating the Fed's inflation fight — and it's now a \$1 trillion question. Tech leaders say AI will drive costs down over time, but the

massive data center buildout creates near-term inflation pressures — construction workers, power, and scarce chips all cost money now ([CNBC](#)). Goldman Sachs data

shows analysts repeatedly raising AI hyperscaler capex forecasts — 2026 estimates surged from about \$284 billion to more than \$525 billion ([Beth Kindig](#)). The cumulative figures are heading toward \$1 trillion. This is the tension at the heart of the market right now: AI spending is driving economic growth but also feeding inflation, which keeps rates higher, which makes borrowing for more data centers costlier.

Meta releases Muse Glimmer: a 30-billion-parameter open-weight model that runs on a single consumer GPU. That's a big deal — models of this size usually need racks of specialized hardware ([ghacks.net](#), [Forbes](#)). "Open-weight" means the trained model parameters (the learned numbers that make the model work) are public, so anyone can run or fine-tune it. Meta says it performs well compared to Google's Gemma4-31B and China's Qwen3.6-27B. Forbes framed it as a model that "undercuts the cloud" — if you can run a capable model on your own hardware, you don't need to pay a cloud provider per token. This is the local-AI movement's biggest win yet.

Nvidia releases Nemotron 3.5 Lightning and a "model router." Nvidia (NVDA) released a 30B open Mixture-of-Experts (MoE) model with just 3B active parameters — meaning it only activates a fraction of its "brain" per query, keeping costs low ([marktechpost.com](#)). The "NeMo Switchyard Model Router" is the more interesting piece — it decides which model to route queries to, which is the heart of cost-efficient AI deployment. Nvidia is positioning itself not just as the chip seller but as the layer that decides which model runs where ([Futurum Group](#)). That's a strategic land grab.

China's open-weight lead is real — and the cost gap is widening. China is way ahead in the market for open-weight models, and Meta and Nvidia are both trying to put the US on the map ([CNBC](#)). Chinese models narrow the performance gap while leading in cost per task

([thelec.net](#)). This is the geopolitical front of the AI race: whoever controls the default open models shapes global AI development.

Hyperscaler backlog hits \$2.33 trillion — and analysts say stop panicking. Cloud Wars crunched the numbers on the enormous backlog of AI infrastructure commitments ([Cloud Wars](#)). The backlog is the contractual commitments from customers (like OpenAI and Anthropic) to buy cloud capacity. A backlog this big means demand is locked in for years — but critics worry about "circular" deals where the same billions cycle between companies.

Nvidia's \$500 billion backstop and the GPU-as-asset-class fuzziness. Critics have flagged how hyperscalers and AI companies blur the line between revenue and capital spending, cycling the same billions between each other ([jonpeddie.com](#)). Half a trillion dollars is large enough that whether it's genuinely new money or already-committed capital matters enormously.

The TSMC loophole crackdown continues. A US lawmaker wants the Biden-era "Foundry Due Diligence Rule" enforced, requiring chipmakers to verify their customers ([Tom's Hardware](#)). The "TSMC loophole" is how Chinese companies got advanced chips made by TSMC despite US export controls — by misrepresenting chip specs and end users. Congress is pressing to close it ([Business Korea](#)).

Oracle's \$40 billion raise and capex peak '27–28. Oracle (ORCL) is raising \$40 billion, and analysts see capex peaking in 2027-28 ([TradingView](#)). Oracle is a key OpenAI supplier — it's one of the companies providing the massive computing power OpenAI needs.

Microsoft, Google, and Amazon depend on two money-losing AI firms. A Boing Boing piece points out that the hyperscalers now depend on AI firms that lose money ([Boing Boing](#)). This is the circular-economy worry made concrete.

4. Model & Research Watch

Qwen 3.8 is coming in hours — the open-weight community is buzzing. The r/LocalLLaMA community has confirmed Qwen 3.8 27B releases in just over 7 hours from Alibaba's ModelScope platform ([Reddit](#)). Qwen models from Alibaba are the leading Chinese

open-weight family, and the 27B size is the sweet spot for running on consumer hardware. The hype is "historic event" level for the community ([Reddit](#)).

Nvidia Nemotron 3.5 Lightning — the specs. 30 billion total parameters, 3 billion active (MoE), open-

weights. This is a "lightning" variant optimized for speed. Paired with the NeMo Switchyard router, it's Nvidia's bid to be the default model + routing layer (marktechpost.com).

Meta Muse Glimmer — runs on one consumer GPU. 30B parameters, open-weights, benchmarks including SWE-Bench (code writing and debugging) and MCP-Atlas (multi-step agentic planning). It can diagnose failed tasks and recover — a genuinely useful agentic capability (ghacks.net). The Forbes angle: it "undercuts the cloud" by making capable AI runnable locally.

LFM2.5-VL-3B for edge vision. Liquid AI released a 3B vision-language model for the edge — that is, running on devices rather than in data centers (Hugging Face). This is the trend toward smaller, specialized models for specific tasks — in this case, understanding images and video on low-power hardware.

IBM research: fewer tokens for the same result. IBM Research published work on reducing token usage while keeping output quality ("Thinking of ACE? We Can Do It with Fewer Tokens") (Hugging Face). Token efficiency is the cost battleground of AI — if you can get the same answer with fewer tokens, you cut costs dramatically.

Research highlight: The "Knowing-Saying Gap." A new paper found that linear probes can detect corrupted context in language models with near-perfect accuracy, yet this doesn't translate into reliable failure prediction (arXiv). In plain terms: the model "knows" when its input is bad, but its confidence doesn't reflect that. This has direct implications for AI monitoring in production.

Research highlight: Zoom screen-sharing hijack found by an AI tool. Researchers found a way to hijack devices through Zoom screen sharing — and notably, a public AI tool found the flaw in under 20 prompts (Ars Technica). This is the dual-use security story: AI finds vulnerabilities fast, which means defenders need to move faster.

Science & Frontier Tech: A rare total solar eclipse passes over northern Spain today, with millions seeing a partial eclipse across Europe, Canada, the northern US, and northwest Africa (France 24). Eclipse demand pushed some Spain and Iceland hotel prices above \$1,000/night (CNBC). Also: the James Webb Space Telescope data revealed a previously undiscovered "gravitational arc" hidden in plain sight (The Debrief).

5. What Builders Are Actually Using

MANDATORY SWAP: Nvidia Nemotron 3.5 Lightning (30B, 3B active) for a lower-tier GPT or Claude model on coding tasks. If you're paying per-token for a mid-tier closed coding assistant, download Nvidia's new open-weight Nemotron 3.5 Lightning and self-host it. The capability gap: it's built for speed and agentic tool use, and while it won't match the frontier closed models on the hardest reasoning, for solid retrieval and basic code it's close. Pricing: free, self-hosted — you need a GPU with roughly 24GB VRAM (like an RTX 4090). Closed-model comparison: a mid-tier GPT model runs roughly \$1-2 per million input tokens. Self-hosting costs electricity and hardware but no per-token fees. *(From today's news, not carried forward — the model released today.)*

Model routing is the new cost-killer. Nvidia's NeMo Switchyard router (marktechpost.com) is the canonical example: send easy queries to a small, cheap local model, and only escalate the hard ones to a big frontier model. In practice, teams report cutting API costs by 60-80% because the vast majority of queries are simple

(summarization, extraction) that a 3B-active model handles fine.

Meta's Muse Glimmer is the local-agent play. At 30B parameters running on a single consumer GPU, this is the model to try if you want an agent that can call tools (MCP-Atlas benchmarks), diagnose failed tasks, and write code — without a cloud bill (ghacks.net). The Forbes headline "undercuts the cloud" is exactly right: the economics of local inference beat per-token pricing for high-volume workloads.

Qwen 3.8 drops tonight — watch the quantization discussions. The open-weight community is waiting for Qwen 3.8 27B in hours (Reddit). The immediate practical question the community will answer in 24 hours: how well does the quantized (compressed) version run on a 24GB consumer card, and what's the real-world speed? That's the decision point for anyone choosing a local workhorse model.

OpenAI's ChatGPT desktop app for Linux launched (TechCrunch). For developers on Linux (the dominant

OS for AI work), this is a meaningful quality-of-life upgrade — you no longer need the browser or a hacky workaround to use ChatGPT natively.

6. Watchlist: Earnings, Guidance & Movers

(Quote snapshot is approximate/delayed. "No notable news" means the sources don't mention the name today.)

Company	Ticker	Move	Context
Lumentum	LITE	+11.6%	Beat on earnings, boosted the optical trade (MarketWatch)
Sandisk	SNDK	+11.2%	Part of the memory-storage upswing; no direct news item in sources
Credo	CRDO	+10.2%	Continues its run; no direct news item in sources
Coherent	COHR	+6.1%	Riding the Lumentum earnings glow ahead of its own report (MarketWatch)
Micron	MU	+6.1%	Memory strength; no direct news item but part of the broader AI-memory trade
Constellation Energy	CEG	+4.5%	Nuclear-for-AI theme continues (simplywall.st)
Marvell	MRVL	+3.8%	AI networking strength
Intel	INTC	+3.2%	No direct news but part of the AI turnaround narrative
ARM	ARM	+0.5%	Quiet
Nvidia	NVDA	+2.9%	Strong, no direct single catalyst
AMD	AMD	+2.9%	Strong
SoFi	SOFI	-2.4%	No notable news in the sources
Palantir	PLTR	-3.6%	No notable news in the sources
Tesla	TSLA	-2.7%	No notable news in the sources
Netflix	NFLX	-1.2%	No notable news in the sources

Watchlist earnings in the last 24h: - Lumentum

(LITE): Beat, stock +11.6% ([MarketWatch](#)). - Tencent

(not on watchlist but important): Revenue up, spending surging, stock down 26% YTD ([CNBC](#)). -

CoreWeave (CRWV, not on watchlist): Revenue doubled, stock +14-18% ([CNBC](#)).

No notable news in the sources for: NextEra (NEE), Rigetti (RGTI), Applied Optoelectronics (AAOI), Fluence (FLNC), Redwire (RDW), IBM, Alphabet (GOOGL), Meta (META — though the lawsuit is a story), Microsoft (MSFT), Amazon (AMZN), Broadcom (AVGO), Cloudflare (NET), Astera Labs (ALAB), Vistra (VST), Robinhood (HOOD), Coinbase (COIN), IMAX, Cinemark (CNK), Comcast (CMCSA), Starbucks (SBUX), Nike (NKE), Qualcomm (QCOM), KLA (KLAC), Digital Realty (DLR), Equinix (EQIX), AMC (AMC), and the Fidelity 500 Index Fund (FXAIX).